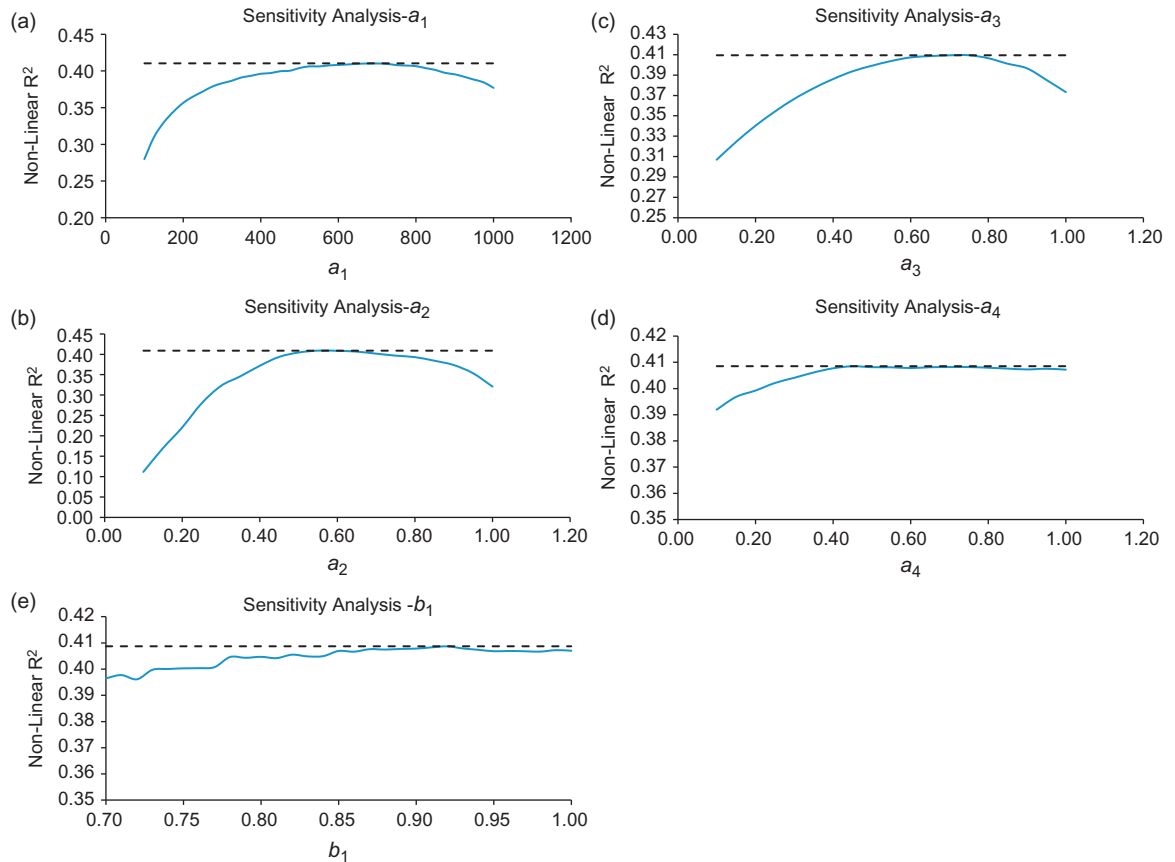




■ Figure 5.6 Parameter Sensitivity Analysis.

$b_1 = 1.00$. It is important to mention that the model is not highly sensitive to parameters a_4 or b_1 and the best fit equations for these parameters vary very little within these ranges. For example, varying b_1 between 0.87 and 1.00 results in a non- R^2 of 0.4070 (min) to 0.4087 (max). Notice how flat this curve is even over the range 0.80 to 1.00. Thus it is no wonder why it has been so difficult in practice to uncover a difference between temporary and permanent market impact cost.

We learn a valuable lesson from the sensitivity analysis—it provides intuition surrounding feasible values of the parameters as well as how much we can expect those parameter values to vary. This is extremely useful in performing what if analysis and running alternative scenarios such as buy/sell, large cap/small cap, etc. (as we show below).